

13 March 2026

Oil & Gas

Price and volume risk at the peak

The global crude market has entered a phase of heightened volatility in last 2 weeks crossing \$100/bbl as we write, driven primarily by 1) destruction of oil & gas assets amid West Asia War triggered a strong risk premium in prices, and 2) tightening supply dynamics owing to closure of Strait of Hormuz. Global rig activity has also increased (3.5% MoM/8.3% YoY) owing to higher hydrocarbon prices. Meanwhile, elevated tanker freight rates and insurance premiums for vessels transiting high-risk zones have raised the cost of procurement significantly. While upstream companies benefit from stronger realizations, risk of implementation of windfall tax looms overhead. GRMs have seen a sharp uptick to over ~\$20/bbl in recent days as petrol and diesel cracks hovering near \$40/bbl and \$80/bbl. Though at current prices, marketing losses on petrol/diesel rose to Rs20/45 per ltr, leading to the industry's daily loss of Rs20 bn (Rs16.5 bn from diesel and Rs3.5 bn from petrol). Spot LNG price also moved up over 50% within a month on the back of stoppage of supply from the one of the largest producing country Qatar. This resulted in nearly 25% cut in India's gas supply which would impact gas utility companies negatively. Though we believe near term volatility would impact the valuation but keep RIL, PLNG, Deep Industries, and Gulf Oil as our preferred picks for the long term.

Global/US Rig count, Spot LNG and GRM rose while marketing and petchem margin fell: The global rig count increased by 144 rigs YoY/64 rigs MoM to 1,885 in Feb'26, despite lower US rig count (down 39 rigs YoY). Though GRM averaged at \$6.8/bbl in Feb'26, it is currently hovering near \$15-20/bbl owing to sharp rise in light and middle distillates cracks. Refinery operations have peaked in India while ATF/Petrol tankers headed towards Western countries now have shifted its path towards Asian countries. Spot LNG followed the similar trend and went up over \$15-16/mmbtu recently after seeing an average of \$10.9/mmbtu in Feb'26. Polymer margins declined across products in Feb'26 after seeing a rise in Jan'26. Diesel marketing margin saw a sharp reduction, down 57% MoM/-40% YoY to Rs3.5/ltr while Petrol margin declined 10% MoM but rose 26% YoY to Rs11.5/ltr in Feb'26. However, at current prices, marketing losses on petrol/diesel rose to Rs20/45 per ltr, leading to the industry's daily loss of Rs20 bn (Rs16.5 bn from diesel and Rs3.5 bn from petrol).

Surge in Tanker rates: Oil tanker rates have surged to multi-year highs in early 2026, driven by intense geopolitical tensions in the Middle East, particularly following US-Iran conflicts, which have severely restricted traffic in the Strait of Hormuz. Tanker rates have surged, with VLCC rates more than doubling to over \$423,000 per day (Middle East-China route) in early March 2026, driven by severe disruptions in the Strait of Hormuz and soaring insurance war-risk premiums. A massive, strategic buying spree by South Korea's Sinokor Shipping Group, which now controls a significant portion of the non-sanctioned fleet, has tightened supply. Some of the Vessels are avoiding high-risk areas, requiring longer routes such as around the Cape of Good Hope, which adds 15-20 days and limits vessel availability. Surging tanker rates pushed US crude shippers to use small vessels, 3 Aframax tanker (7 lakh bbls each) carries close to what 1 VLCC tanker can carry. Several Aframax vessels have recently been booked to carry crude from the Gulf Coast to Singapore, with loading to be done in mid-March as per Bloomberg.

MONTHLY UPDATE

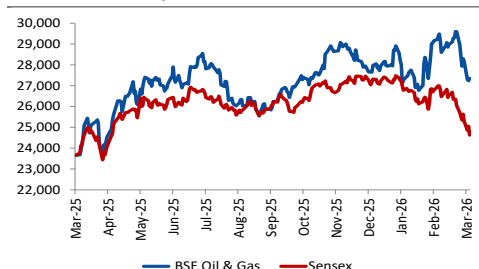
Industry Oil & Gas

Sector Recommendations

Company	Mkt Cap (Rs bn)	TP (Rs)	Rating
RELIANCE	18,808	1,700	BUY
DEEPIIND	22	693	BUY
GOLI	50	1,660	BUY
MGL	104	1,374	BUY
GUJGAS	265	447	HOLD
IGL	227	226	BUY
GAIL	1,003	176	HOLD
PLNG	445	342	BUY

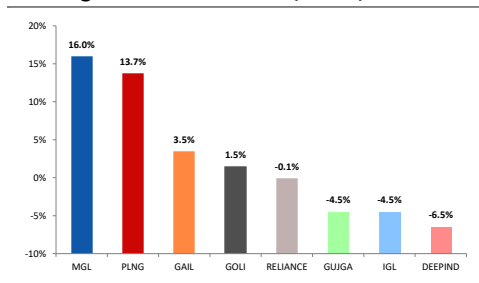
Source: BSE, Systematix Research

BSE Oil & Gas v/s Sensex



Source: BSE, Systematix Research

Coverage - Stock Performance (Feb'26)



Source: BSE, Systematix Research

Sudeep Anand

sudeepanand@systematixgroup.in
+91 22 6704 8085

Prathmesh Kamath

prathmeshkamath@systematixgroup.in
+91 22 6704 8022

Vidhi Shah

vidhishah@systematixgroup.in
+91 22 6704 8040

Petroleum product consumption (Feb'26): Total demand stood at 20.2 MMT (+5.8% YoY / -3.8% MoM). YoY growth was driven by HSD, MS, and LPG, indicating resilient industrial and mobility demand, while the sequential decline was led by diesel, ATF, LPG, and industrial fuels. LPG rose 9.7% YoY (-7% MoM) on steady household demand, MS grew 6.1% YoY (-4% MoM) supported by strong personal mobility, and HSD fell 4.1% MoM due to lower freight movement post-festive.

Russian purchase is set to increase: About 6 days ago, the US issued a 30-day waiver for India to accept Russian oil already at sea so as to stabilise global supply during the Iran conflict. According to Bloomberg, India bought nearly 30mn barrels of unsold Russian crude following the 30-day US waiver. Earlier, India had reduced purchases of Russian oil, partly replacing them with crude from Saudi Arabia and Iraq. Recently Indian companies ramped up its import from Russia. The cargoes included multiple Russian grades such as Urals, ESPO, and Varandey. Notably, these barrels were offered at premiums of \$2–\$8/bbl to London Dated Brent, a sharp reversal from earlier months when Russian crude traded at discounts to global benchmarks.

Exhibit 1: Valuation snapshot

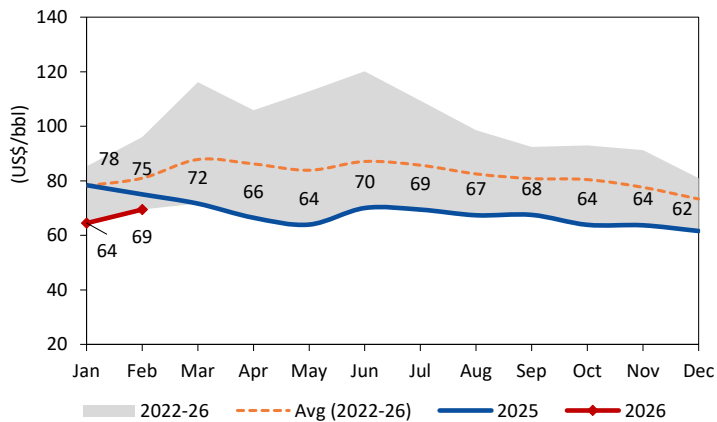
Companies	CMP	Reco	TP	P/E			EV/EBITDA			P/BV (Rs)			RoE (%)		
	(Rs)			FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E
Reliance Industries Ltd	1,390	BUY	1,700	25.1	22.8	20.8	10.8	10.0	9.1	2.1	1.9	1.8	8.9	8.4	8.5
GAIL India Ltd	153	HOLD	176	14.6	11.4	10.5	10.1	8.1	7.3	1.5	1.4	1.3	10.1	12.1	12.3
Petronet LNG	297	BUY	342	11.4	10.2	9.6	6.3	5.7	5.4	2.1	1.9	1.7	18.2	18.3	17.6
Gujarat Gas Ltd	385	HOLD	447	21.2	20.0	18.8	12.8	11.9	10.7	2.9	2.7	2.4	13.6	13.4	12.6
Indraprastha Gas Ltd	162	BUY	226	14.6	11.9	10.9	9.3	7.2	6.4	2.2	1.9	1.7	15.0	16.3	15.8
Mahanagar Gas	1,049	BUY	1,374	10.7	11.0	10.7	5.4	5.0	4.4	1.6	1.5	1.4	15.0	13.5	12.8
Gulf Oil Lubricants India	1,012	BUY	1,660	14.4	11.5	10.3	7.0	5.5	4.3	3.1	2.9	2.6	22.7	26.2	26.5
Deep Industries	340	BUY	693	8.3	7.0	5.9	6.5	5.8	4.4	1.3	1.1	1.0	14.8	15.3	15.6

Source: Bloomberg, Systematix Research

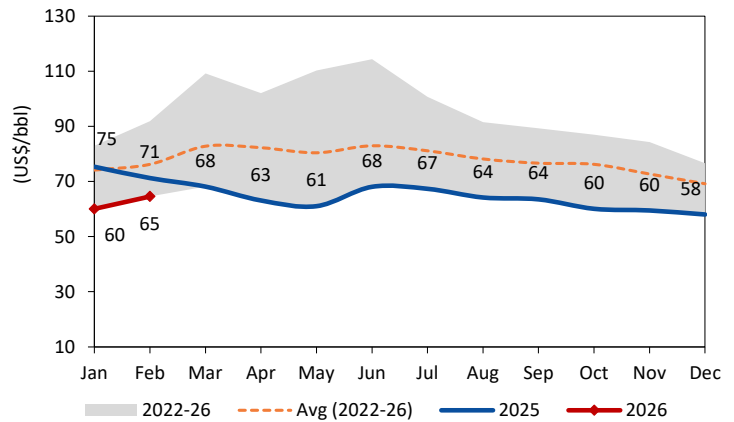
Exhibit 2: Stock performance over a decade

Name	CMP (Rs)	% Price Change Week	% Price Change 1 Month	% Price Change 3 Months	% Price Change 6 Months	% Price Change 1 Yr	% Price Change YTD	% Price Change 5 Yr	% Price Change 10 Yr
Reliance Industries Ltd	1,390	0.1	(4.1)	(10.7)	(0.4)	10.6	(11.5)	42.7	504.1
GAIL India Ltd	153	(2.7)	(6.8)	(10.6)	(14.6)	(4.2)	(11.4)	55.9	137.2
Petronet LNG Ltd	297	1.3	(0.1)	10.4	6.8	4.1	4.5	22.7	138.6
Gujarat Gas Ltd	385	(3.0)	(9.4)	(2.6)	(10.6)	(0.0)	(6.5)	(25.7)	285.0
Indraprastha Gas Ltd	162	1.1	(4.5)	(13.3)	(24.6)	(14.0)	(16.8)	(36.3)	209.6
Mahanagar Gas Ltd	1,049	(4.4)	(9.1)	(6.7)	(19.5)	(19.3)	(7.7)	(13.2)	149.2
Gulf Oil Lubricants India Ltd	1,012	(1.0)	(12.6)	(12.7)	(22.2)	(16.5)	(15.7)	37.9	112.8
Deep Industries	340	(3.4)	(16.8)	(23.0)	(36.3)	(25.8)	(26.3)	1,697.1	1,697.1
Indian Oil Corp Ltd	160	(6.6)	(10.0)	(2.1)	12.4	27.9	(3.7)	137.2	149.6
Bharat Petroleum Corp Ltd	326	(9.4)	(13.6)	(10.6)	2.6	22.6	(15.0)	42.7	143.4
Hindustan Petroleum Corp Ltd	384	(8.2)	(15.1)	(16.5)	(3.7)	17.3	(23.1)	138.7	258.6
Chennai Petroleum Corp Ltd	945	(4.7)	5.3	1.9	28.6	70.9	13.0	745.2	373.9
Mangalore Refinery & Petrochemicals Ltd	191	(2.5)	0.1	28.5	51.3	70.7	25.9	356.9	231.2
Oil & Natural Gas Corp Ltd	270	(2.2)	(2.2)	13.6	15.9	20.5	12.5	135.0	94.7
Oil India Ltd	479	0.1	1.0	18.6	20.3	30.7	13.0	445.2	364.0
Gujarat State Petronet Ltd	278	(4.0)	(10.3)	(3.8)	(9.7)	1.5	(9.1)	0.1	120.8
Adani Total Gas Ltd	609	26.0	13.6	2.6	0.6	1.4	7.5	(17.5)	705.6
BSE OIL & GAS	27,496	(2.8)	(5.6)	(1.7)	4.8	15.9	(4.2)	73.0	212.9
NSE Nifty 50 Index	23,633	(4.6)	(8.4)	(9.3)	(5.9)	5.2	(9.6)	57.2	213.5

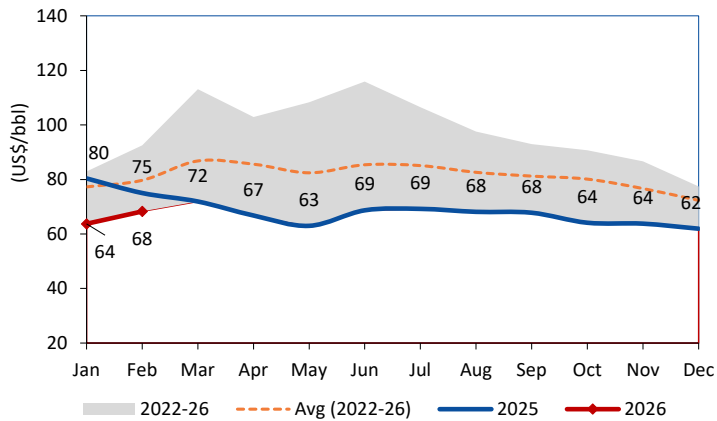
Source: Bloomberg, Systematix Research

Exhibit 3: Brent up 8% MoM, due to geopolitical uncertainties

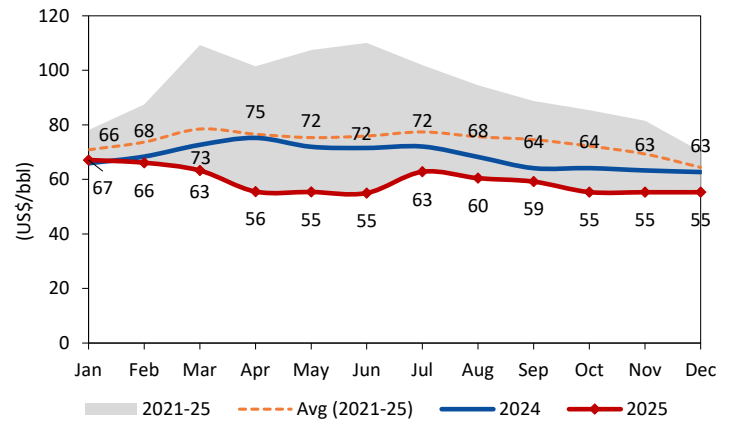
Source: Bloomberg, Systematix Research

Exhibit 4: ... similarly WTI oil price up 7.5% MoM/-9.3% YoY

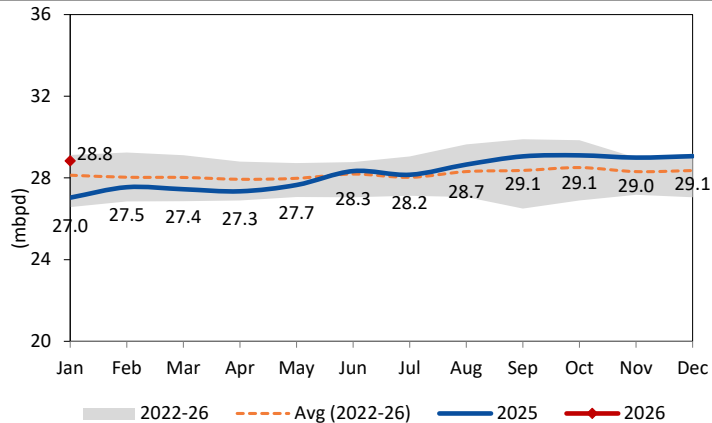
Source: Bloomberg, Systematix Research

Exhibit 5: Price of Dubai oil rose 7.2% MoM/-9% YoY

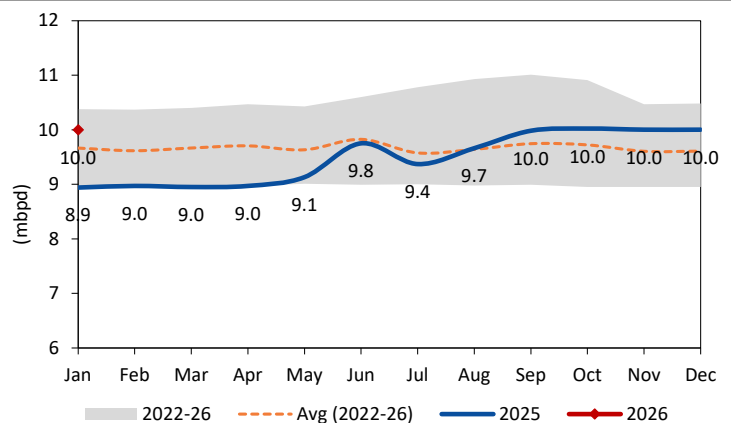
Source: Bloomberg, Systematix Research

Exhibit 6: Maya crude price in CY25, remained below CY24 level

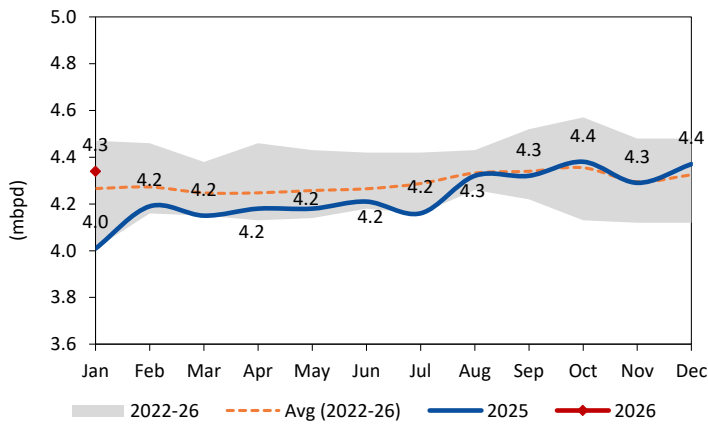
Source: Bloomberg, Systematix Research

Exhibit 7: OPEC: Crude production flattish MoM

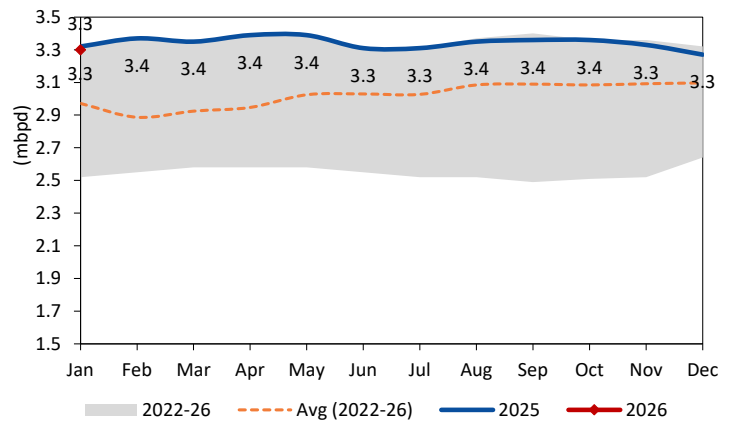
Source: Bloomberg, Systematix Research

Exhibit 8: Saudi's Jan production flattish QoQ, up 12% YoY

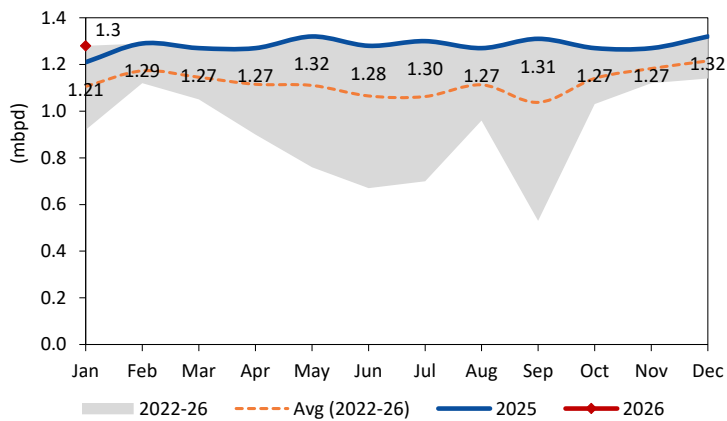
Source: Bloomberg, Systematix Research

Exhibit 9: Iraq's oil production rose 6% YoY/down 3% MoM

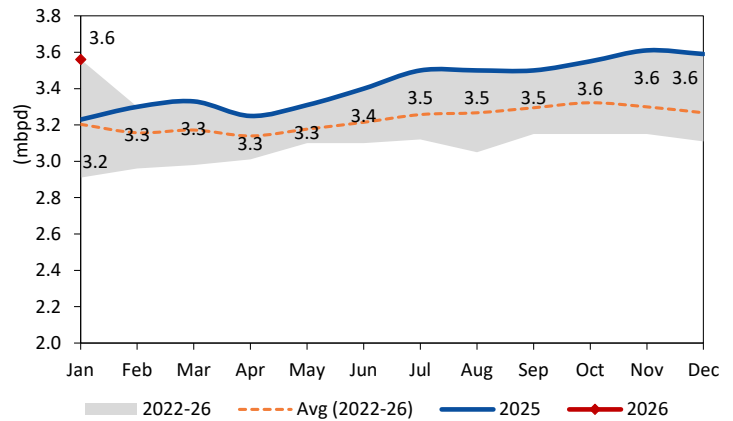
Source: Bloomberg, Systematix Research

Exhibit 10: Iran average production flattish in FY26YTD

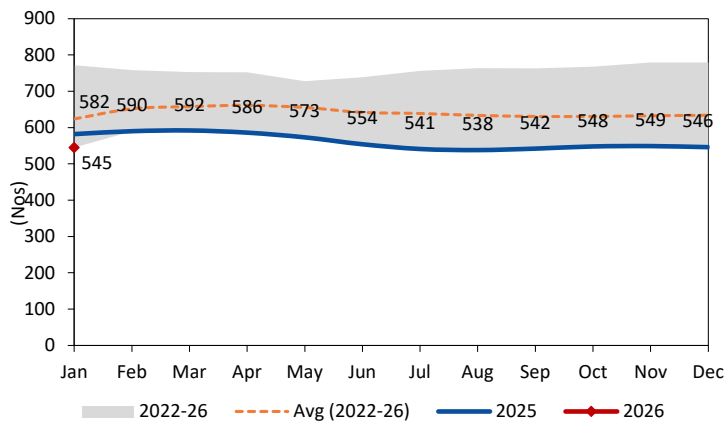
Source: Bloomberg, Systematix Research

Exhibit 11: Libya oil production down 3% MoM/up 5.8% YoY

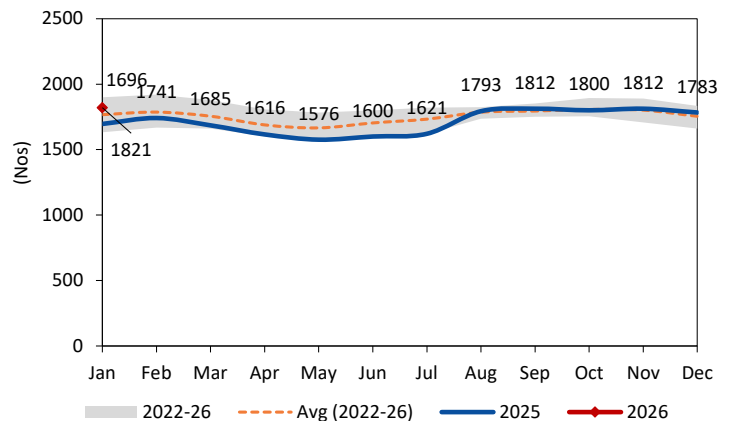
Source: Bloomberg, Systematix Research

Exhibit 12: UAE oil production flattish MoM/up 10.2% YoY

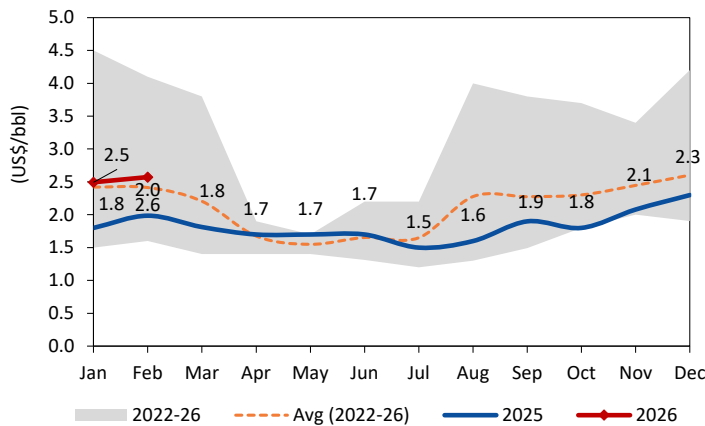
Source: Bloomberg, Systematix Research

Exhibit 13: US rig count up MoM/down YoY by +6/-39 rigs respc.

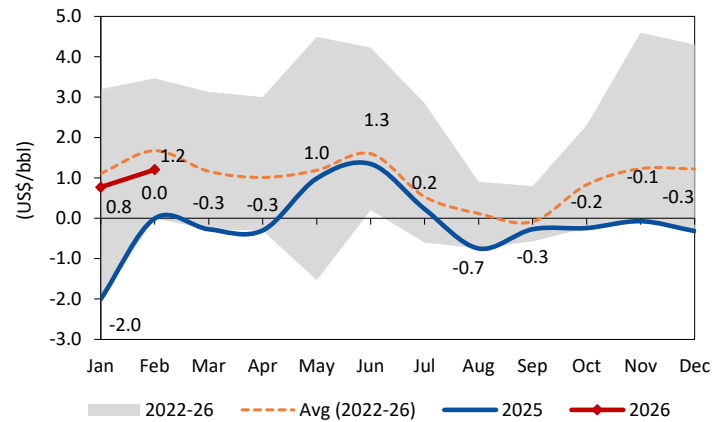
Source: Bloomberg, Systematix Research

Exhibit 14: Global rigs rose 4% MoM/+8% YoY (Highest in last 3yrs)

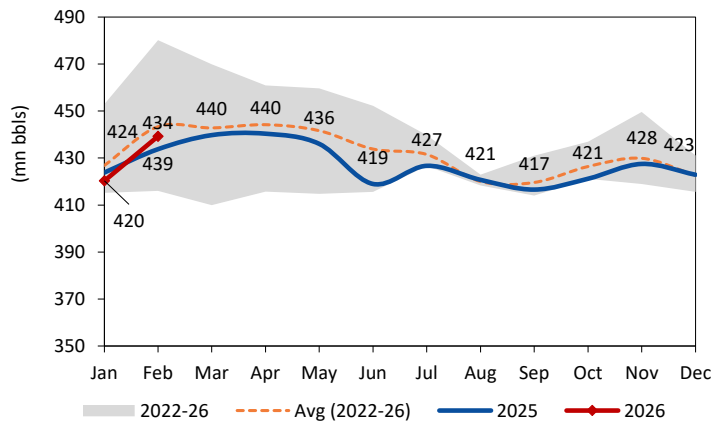
Source: Bloomberg, Systematix Research

Exhibit 15: Arab Light-Arab Heavy spread rose 3.1% YoY

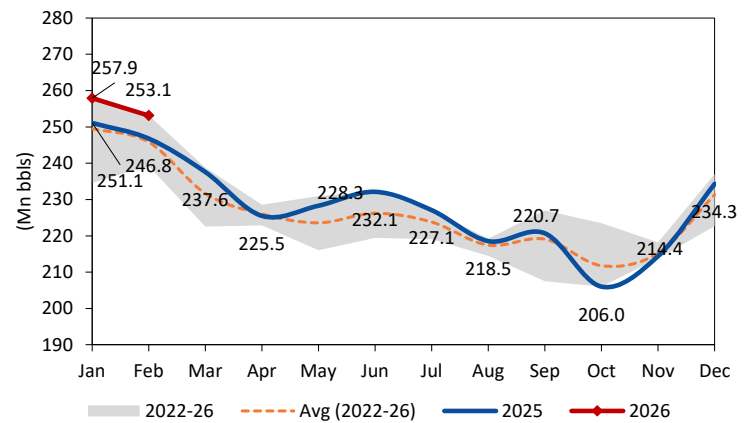
Source: Bloomberg, Systematix Research

Exhibit 16: Brent-Dubai differential remains volatile

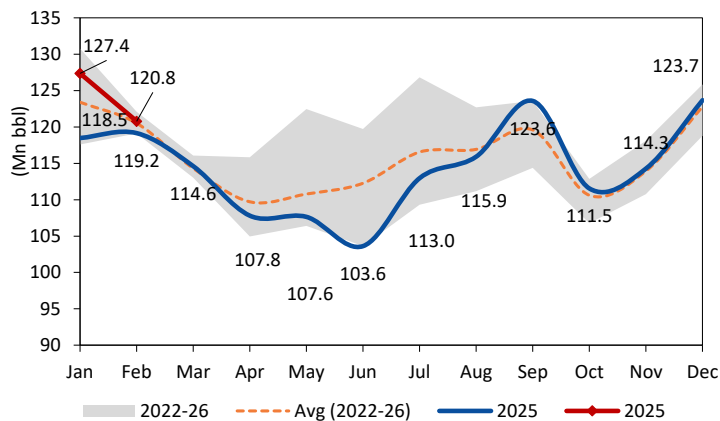
Source: Bloomberg, Systematix Research

Exhibit 17: US crude oil inventory up 4.5% MoM/1.3% YoY

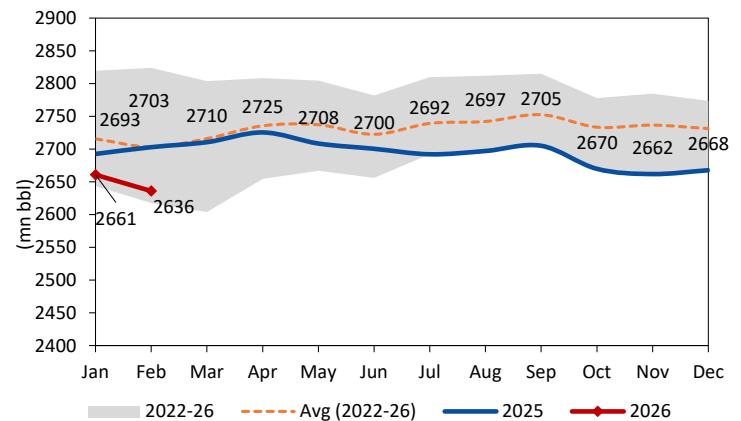
Source: Bloomberg, Systematix Research

Exhibit 18: US gasoline inventory dips further by 1.8% MoM

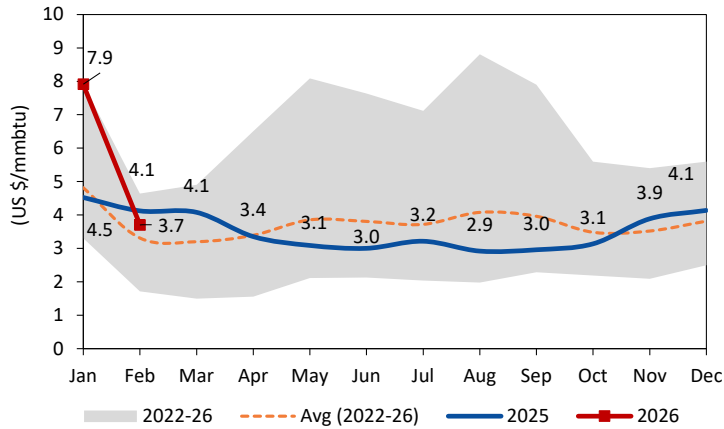
Source: Bloomberg, Systematix Research

Exhibit 19: US distillates inventory jumps 1.4% YoY/-5.2% MoM

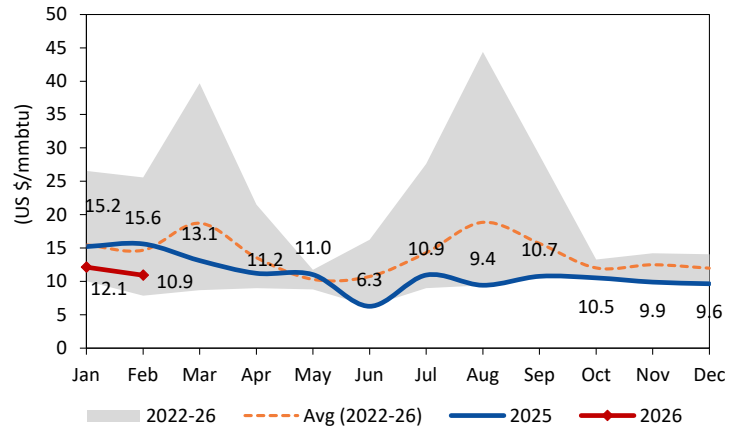
Source: Bloomberg, Systematix Research

Exhibit 20: OECD oil inventory flattish, mere up 0.9% MoM

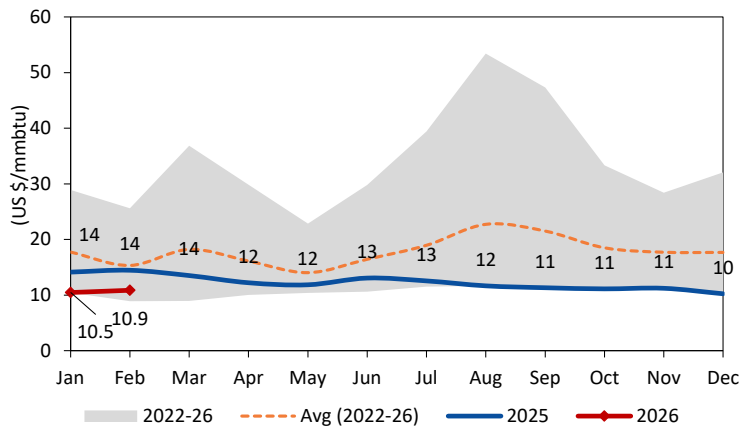
Source: Bloomberg, Systematix Research

Exhibit 21: Henry-Hub gas price corrected 53.2% MoM

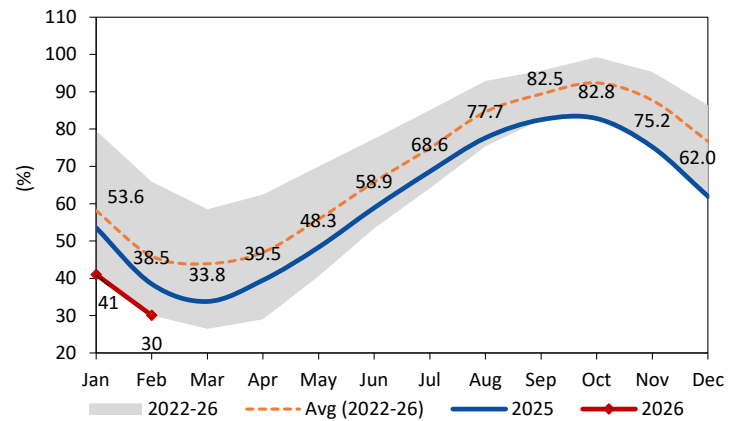
Source: Bloomberg, Systematix Research

Exhibit 22: NBP price down 10% MoM/-2.4% in FY26

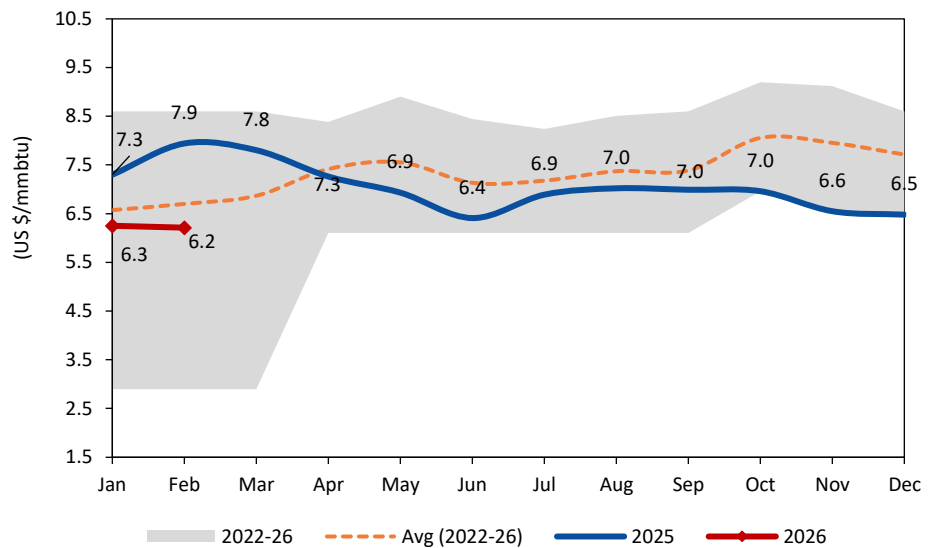
Source: Bloomberg, Systematix Research

Exhibit 23: Japan Korea LNG 3.9% MoM/-24.9% YoY

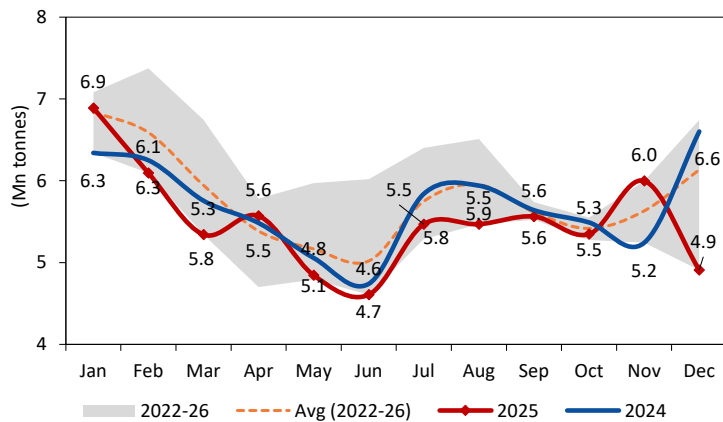
Source: Bloomberg, Systematix Research

Exhibit 24: European Gas storage down to 30% from 83% in Nov'25

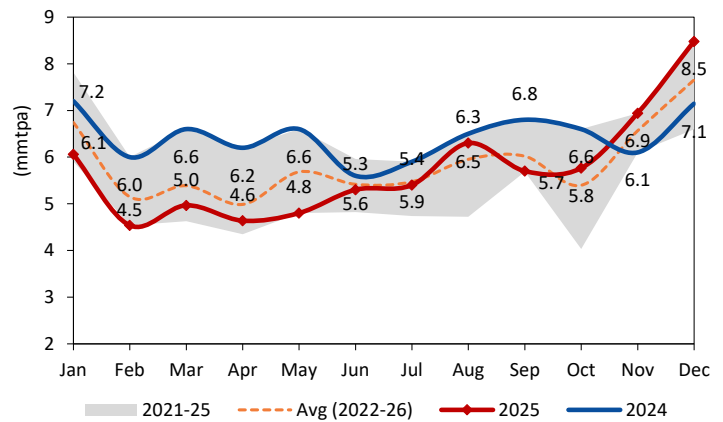
Source: Bloomberg, Systematix Research

Exhibit 25: Domestic gas price below threshold for 4th consecutive month

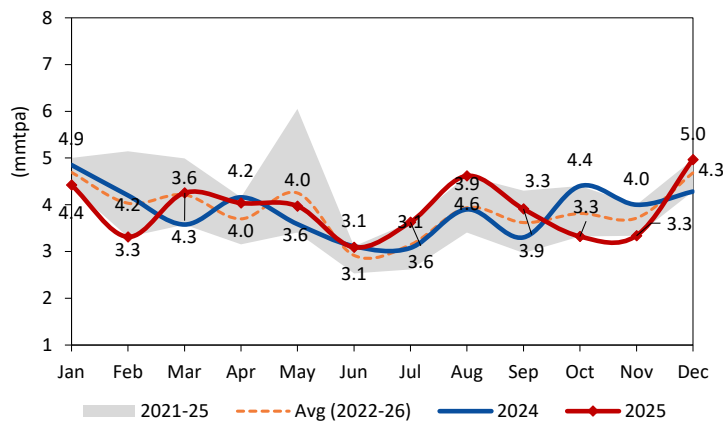
Source: Systematix Research (Prices for fields not under nomination)

Exhibit 26: Japan LNG import down 18.2% MoM to 6.8mt

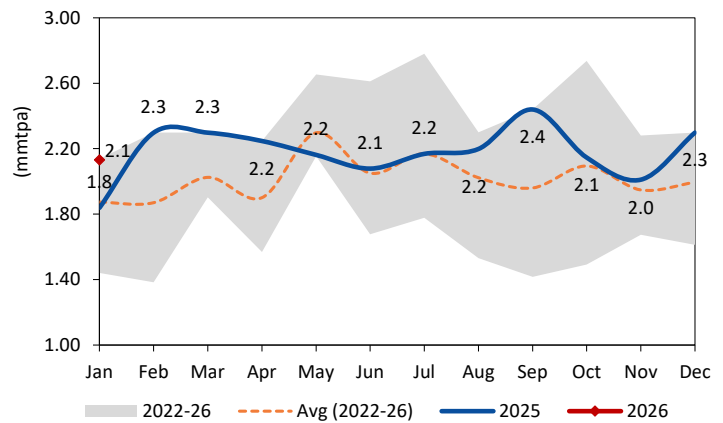
Source: Bloomberg, Systematix Research

Exhibit 27: China LNG import rises 22.2% MoM/83% FY26-YTD

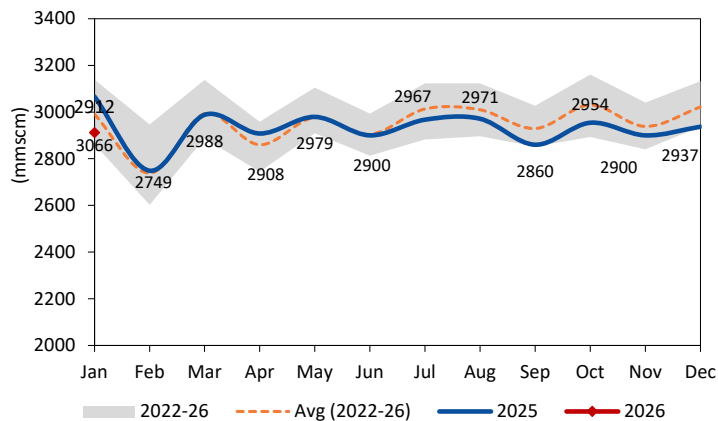
Source: Bloomberg, Systematix Research

Exhibit 28: Korea LNG import volume down 12% MoM

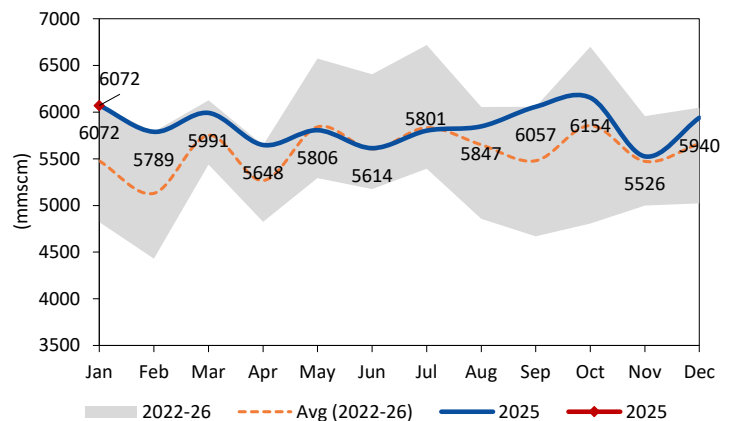
Source: Bloomberg, Systematix Research

Exhibit 29: India's LNG volume down 7.2% MoM

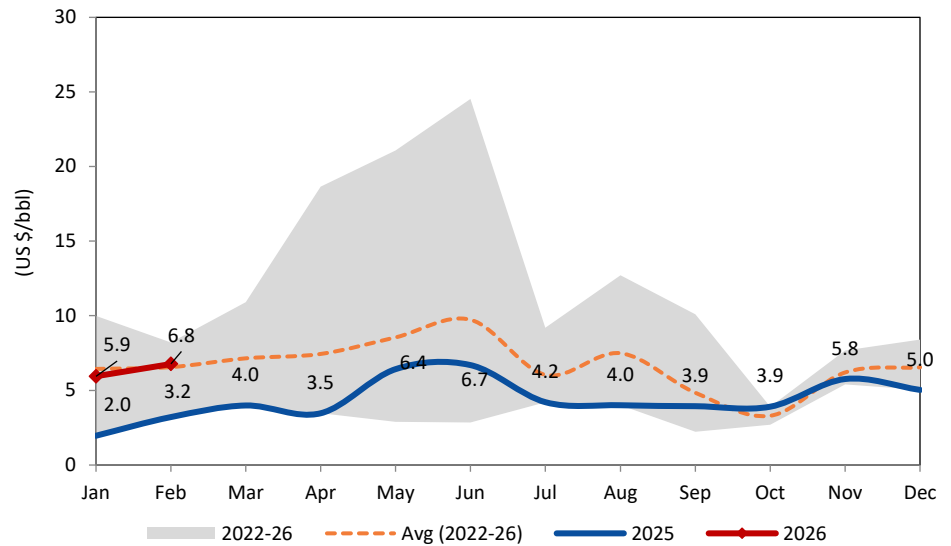
Source: Bloomberg, Systematix Research

Exhibit 30: Domestic gas production remained volatile

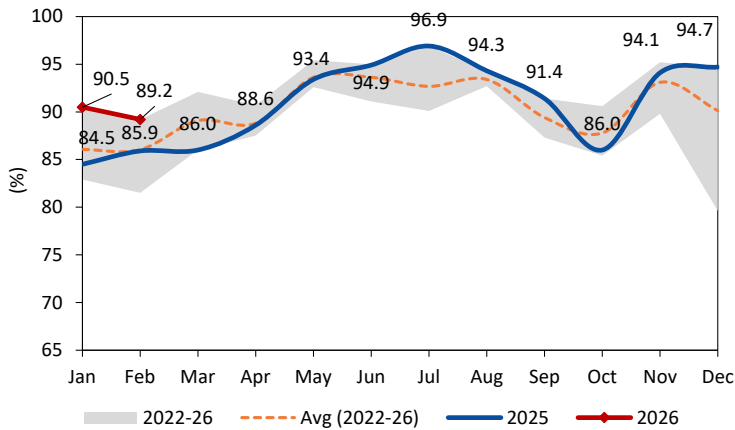
Source: Bloomberg, Systematix Research

Exhibit 31: Total gas consumption down 4% MoM/7.4% in last 3m

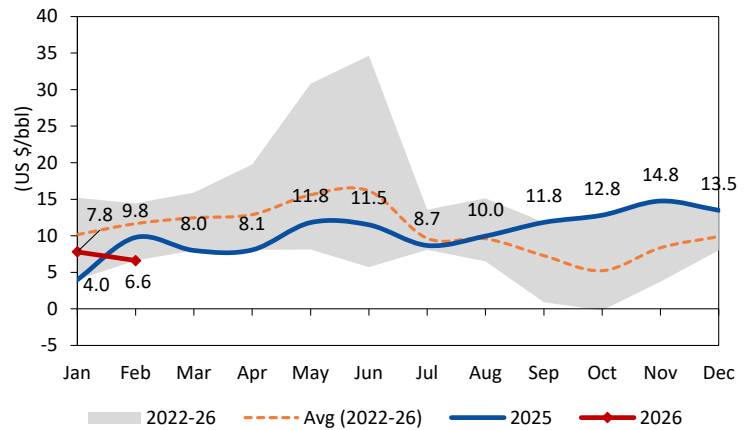
Source: Bloomberg, Systematix Research

Exhibit 32: Benchmark GRM jumps 14% MoM/110% YoY (Brent: \$70/bbl vs \$75 YoY)

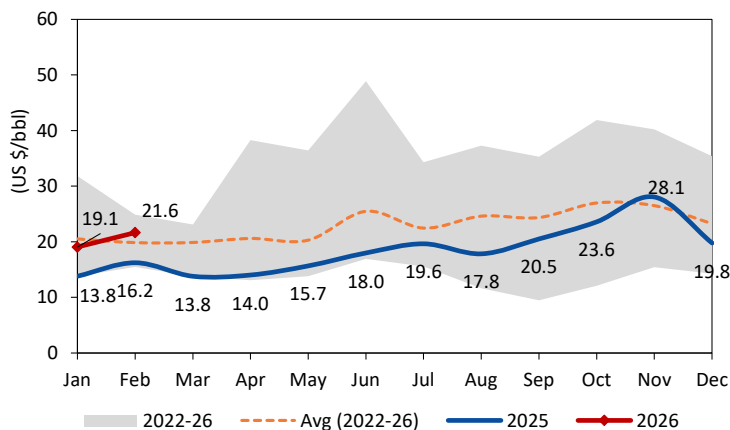
Source: Systematix Research

Exhibit 33: US refinery utilization at 89% in Feb (vs 86% Feb'25)

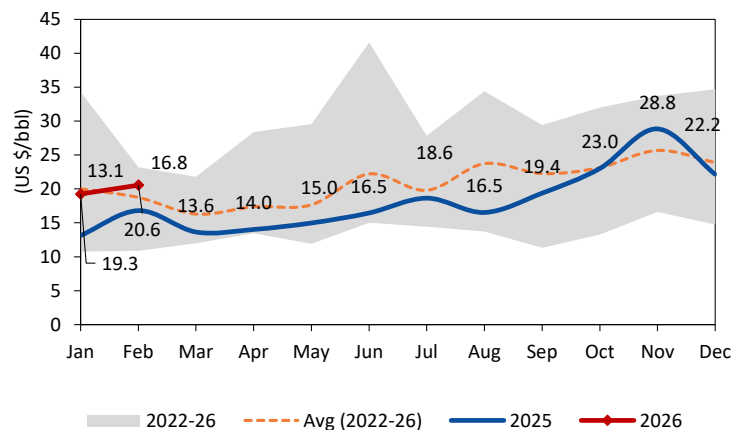
Source: Bloomberg, Systematix Research

Exhibit 34: Gasoline cracks down 15%, now at \$6.6/bbl, -32% YoY

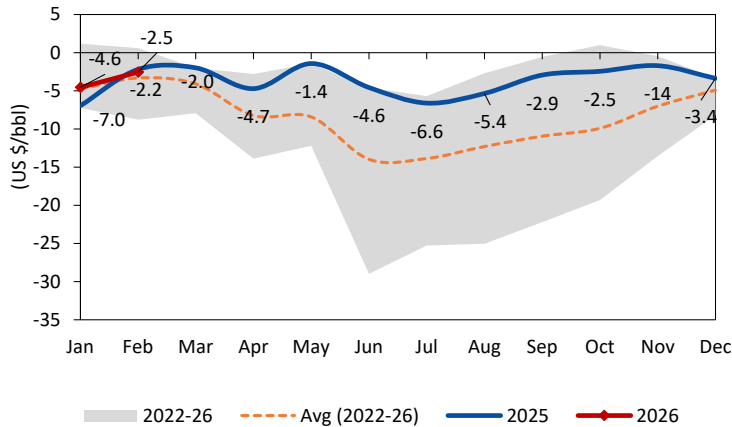
Source: Bloomberg, Systematix Research

Exhibit 35: Gasoil cracks jumped 13.6% MoM to \$21.6/bbl

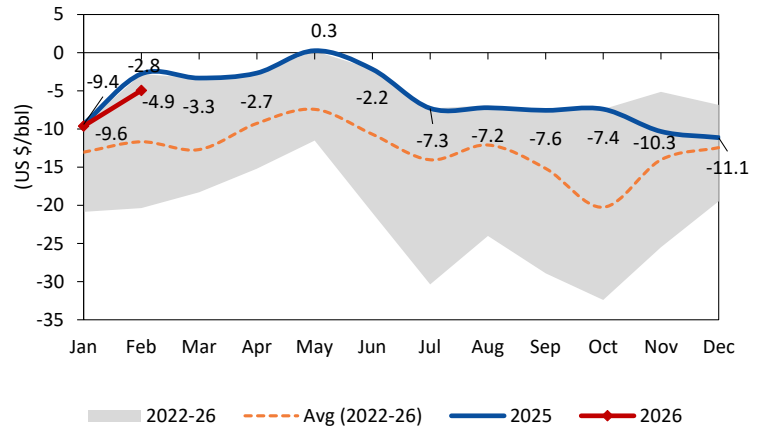
Source: Bloomberg, Systematix Research

Exhibit 36: Jet-Kero crack spread up 6.7% MoM to \$1.3/bbl

Source: Bloomberg, Systematix Research

Exhibit 37: Naphtha crack remains volatile, now at \$ -2.5/bbl

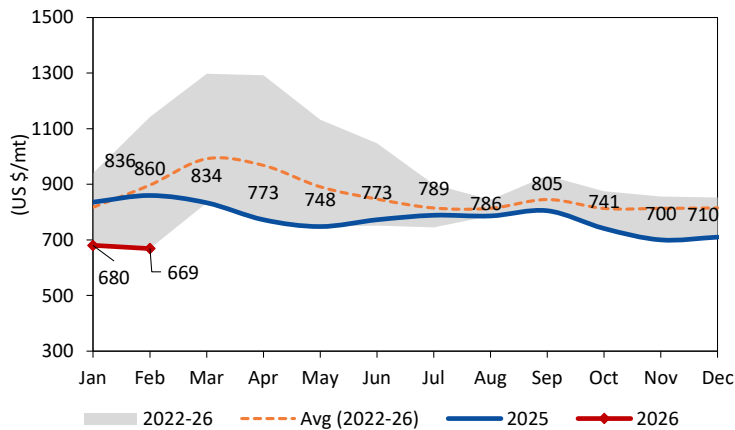
Source: Bloomberg, Systematix Research

Exhibit 38: Volatility persists in the fuel oil crack as well

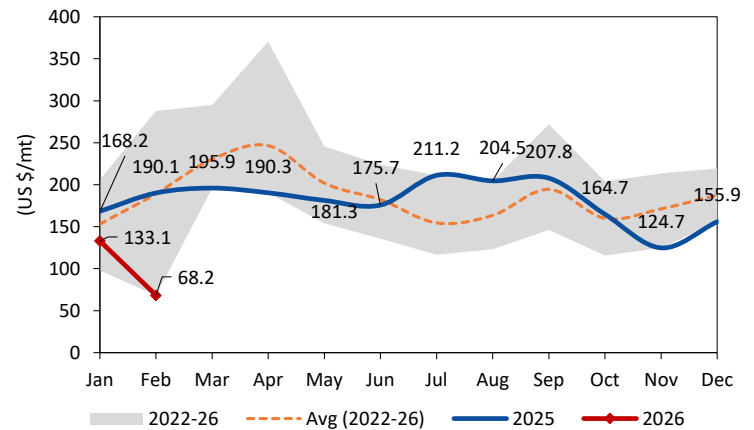
Source: Bloomberg, Systematix Research

India's refining capacity set for major expansion amid rising energy needs: As per PPAC, India ranks 4th in refining hubs in the world, with 23 refineries having combined 5.2 mbpd capacity, and is a net exporter of the refined products. However, the demand for fuels is expected to rise steadily. Over the past decade, domestic refining capacity has expanded by about 10%, while on a global scale, refining capacity currently stands at 104.5 mbpd, with more than 1 kbpd added in 2024 alone. Looking forward, India's primary energy demand is projected to grow at an average rate of ~3% p.a. until 2050, compared with the average global growth rate of <1% p.a. India also aspires to remain a net exporter. To meet this demand, the country is planning to add capacity: One 9 mmtpa refinery (HRRL) is currently in the final stages of construction in the Thar Desert at Pachpadra in the Balotra district of Rajasthan. Another similar capacity refinery is coming up at the site of an earlier old small refinery at Cauvery Basin. Many other existing refineries are undertaking expansion-cum-modernization projects. These green and brown additions total up to 55.6mmtpa and take the country's refining capacity to 309.5mmtpa by 2030. Two more refineries have been announced recently to keep pace with future demand.

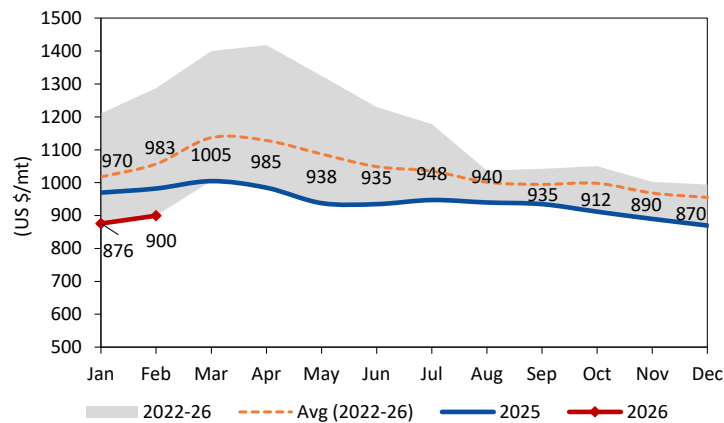
In Feb'26, ethylene prices remained flattish MoM but remain 22.2% lower YoY, while the ethylene–naphtha spread down 49% MoM/-64.1% YoY. HDPE prices up 2.7% MoM to \$900/mt, with HDPE–naphtha spreads down 9% MoM/-4.2% YoY. PP prices rose 5.2% MoM but down 5.9% YoY at \$878/mt, with PP–propylene spreads down 5% MoM to \$66.6/mt. Fiber intermediates were mixed — MEG prices edged -3% MoM while down 11.8% YTD, while PTA jumped 1.1% MoM to \$670/mt. Refining margins diverged as diesel GMM down 40% YoY/-57% MoM to Rs3.5/ltr on rise in crude prices (7.8% MoM), while petrol GMM down 10% MoM to Rs11.5/ltr.

Exhibit 39: Ethylene price flattish MoM/-22.2% YoY

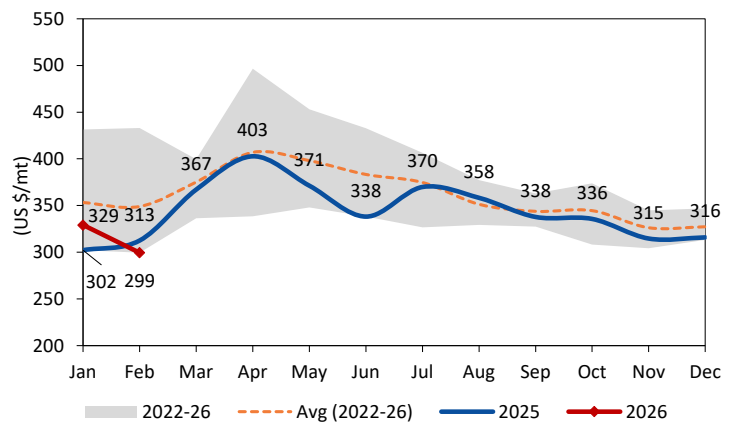
Source: Bloomberg, Systematix Research

Exhibit 40: Ethylene-Naphtha down 49% MoM/down 64% YoY

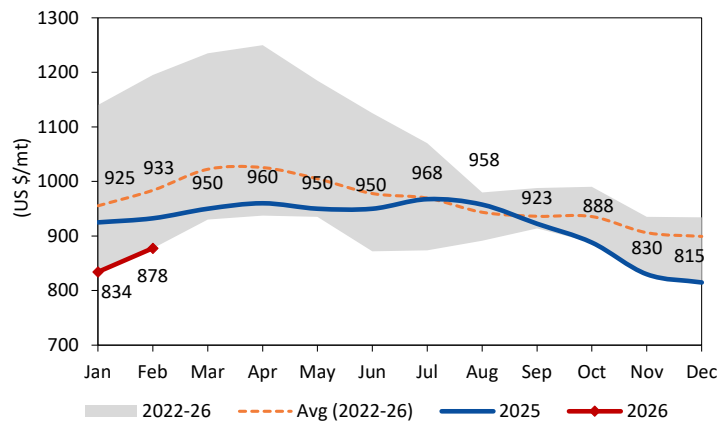
Source: Bloomberg, Systematix Research

Exhibit 41: HDPE price up 2.7% MoM to \$900/mt

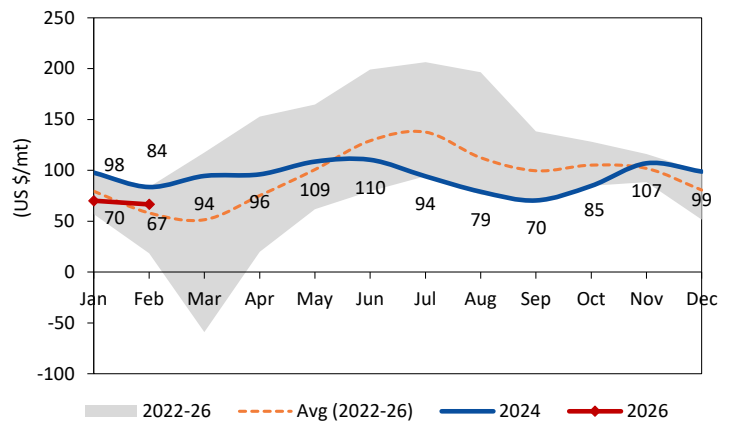
Source: Bloomberg, Systematix Research

Exhibit 42: HDPE-Naphtha spread down 9% MoM/-4% YoY

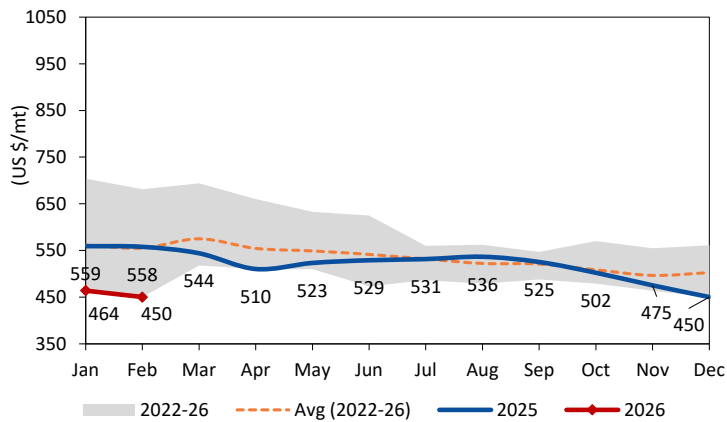
Source: Bloomberg, Systematix Research

Exhibit 43: PP price down 5.9% YoY/+5.2% QoQ now at \$878/mt

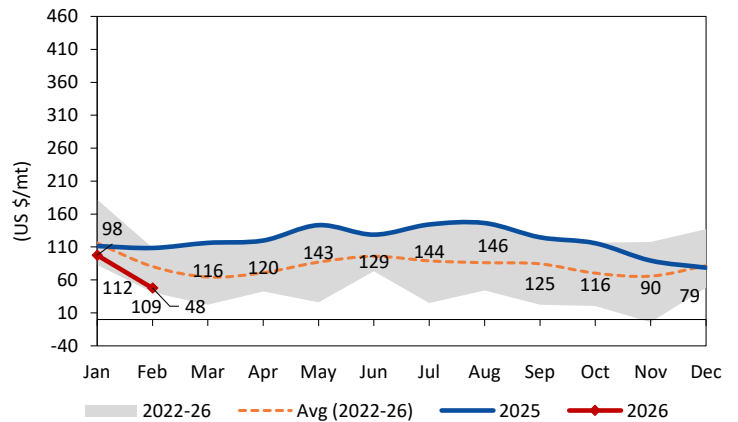
Source: Bloomberg, Systematix Research

Exhibit 44: PP-P spread down 5% MoM to USD 67/mt

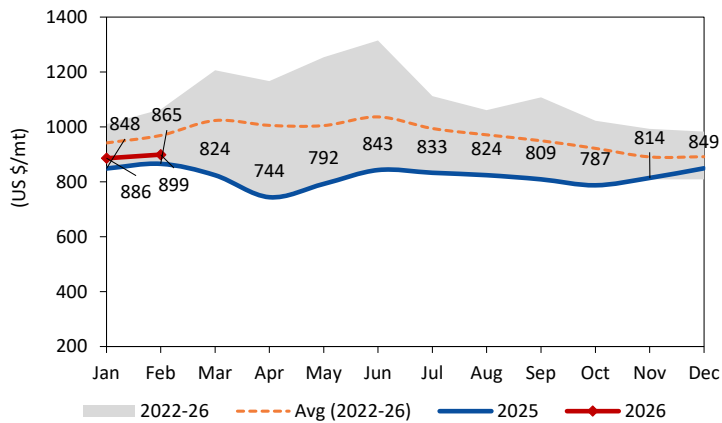
Source: Bloomberg, Systematix Research

Exhibit 45: MEG price down 3% MoM/-16.1% YoY

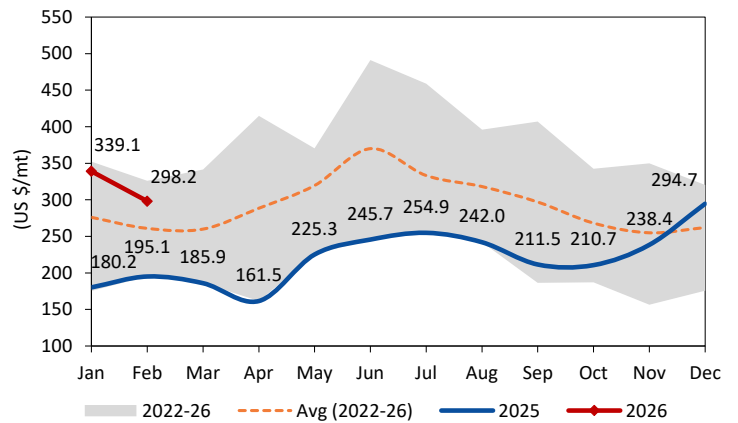
Source: Bloomberg, Systematix Research

Exhibit 46: MEG-Naphtha spread down 51% MoM at \$47.6/mt

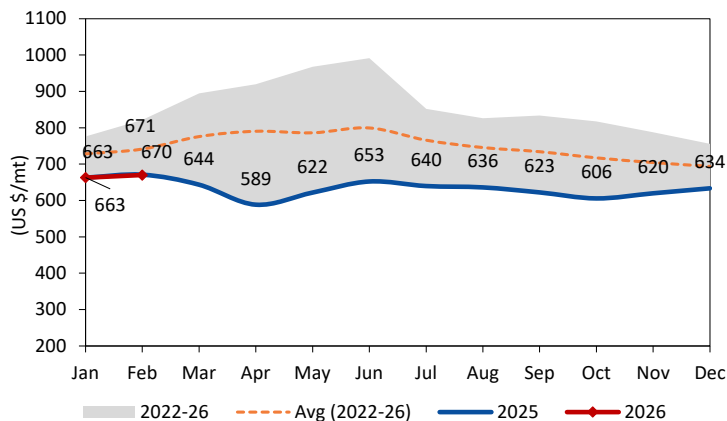
Source: Bloomberg, Systematix Research

Exhibit 47: Px price -1% MoM/up 3.9% now at USD 898/mt

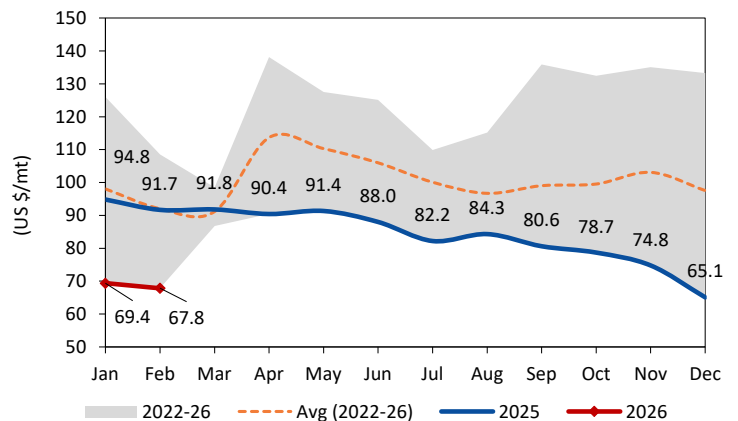
Source: Bloomberg, Systematix Research

Exhibit 48: Px-Naphtha spread down 12% MoM (+53% YoY)

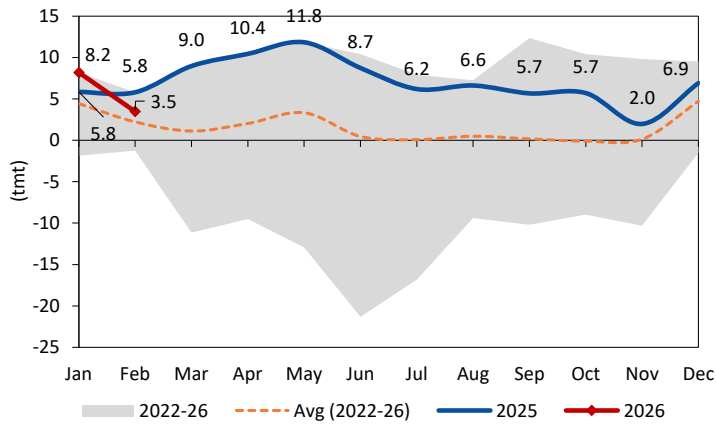
Source: Bloomberg, Systematix Research

Exhibit 49: PTA price up 1.1% MoM now at \$670/mt

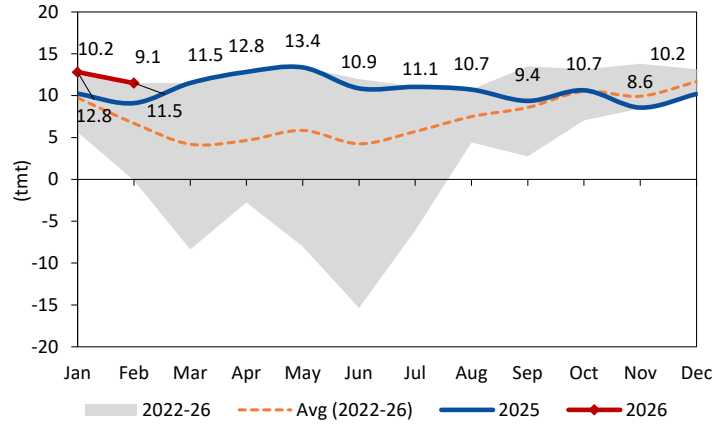
Source: Bloomberg, Systematix Research

Exhibit 50: PTA-Px spread up 2.2% MoM to USD 67.8/mt

Source: Bloomberg, Systematix Research

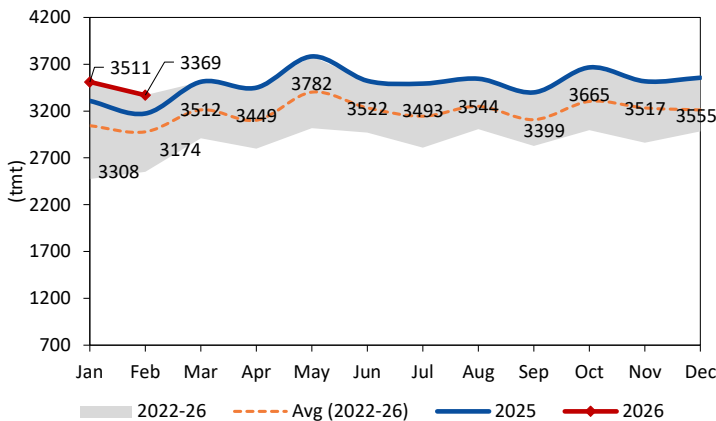
Exhibit 51: Diesel GMM down 57% MoM/-39.9% YoY, to Rs 3.5/ltr

Source: Bloomberg, Systematix Research

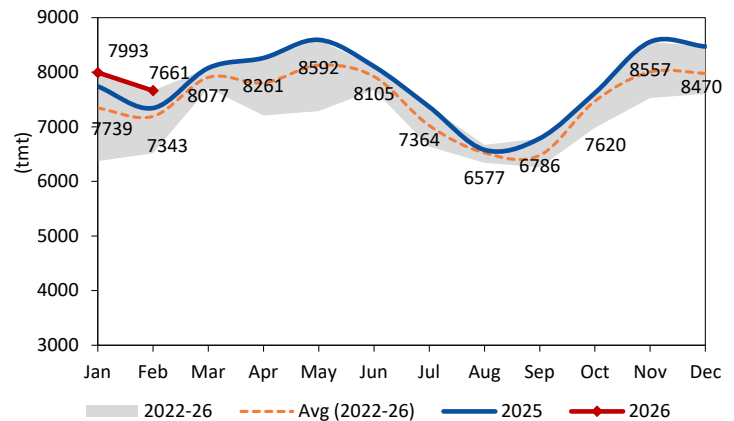
Exhibit 52: Petrol GMM -10% MoM to Rs11.5/ltr as crude jumps

Source: Bloomberg, Systematix Research

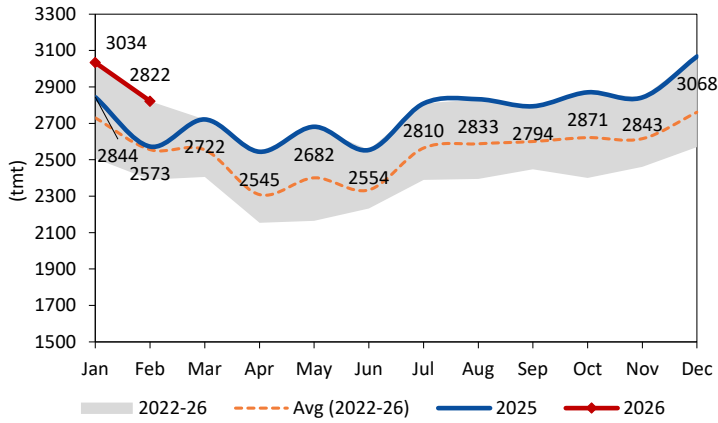
Petroleum products consumption – Feb'26: Total consumption stood at 20.2mmt, up 5.8% YoY/down 3.8% MoM. The YoY growth indicates a modest improvement, led by HSD, MS and LPG signaling ongoing infrastructure activity and industrial demand resilience, the sequential decline was largely driven by diesel, ATF, LPG and industrial fuels (FO/LSHS). LPG demand was up 9.7% YoY, the growth suggests steady rural and urban household usage, partly supported by subsidy schemes. Personal mobility demand remained strong, aided by travelling activities and stable fuel prices, MS consumption grew 6.1% YoY/-4% MoM. In HSD, sequential drop of 4.1% is due to lower freight movement. Bitumen's sharp 10.7% YoY/15.7% MoM jump reflects strong road construction activity under infrastructure push. We forecast summer holidays to support MS/HSD and LPG demand in coming months, while industrial production may recover further.

Exhibit 53: Gasoline consumption down 4% MoM/up 6% YoY

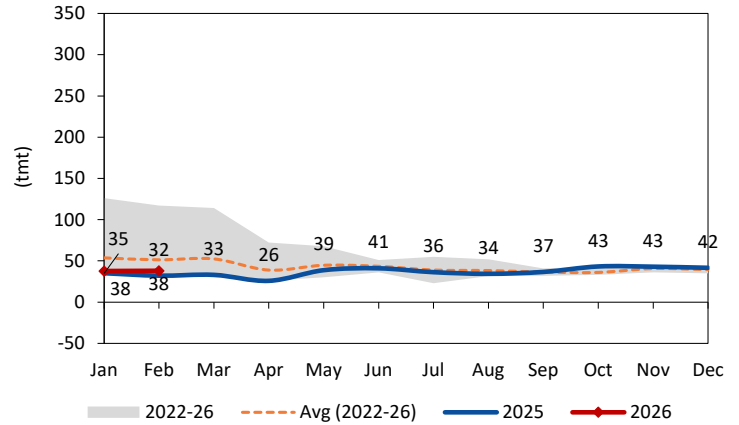
Source: PPAC, Systematix Research

Exhibit 54: ...Gasoil consumption declines 4.1% MoM/+4.3% YoY

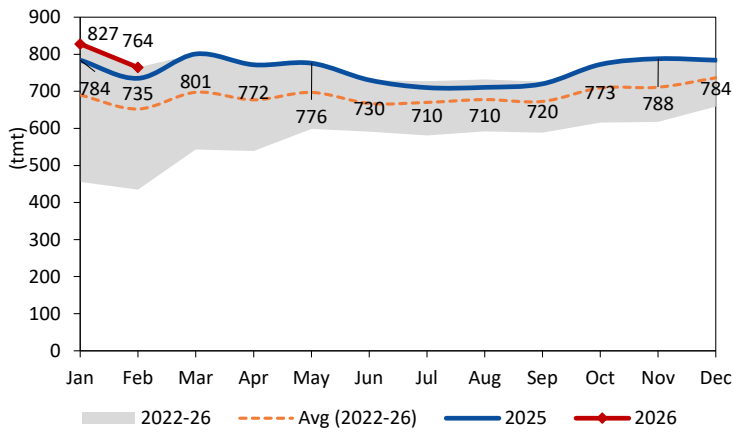
Source: PPAC, Systematix Research

Exhibit 55: LPG consumption down 7% MoM/9.7% YoY

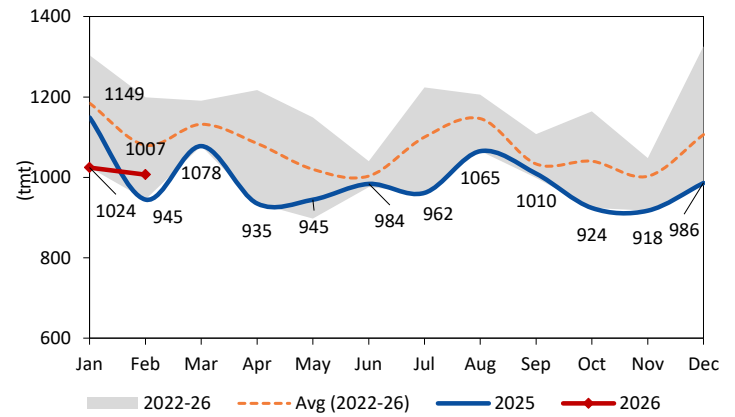
Source: PPAC, Systematix Research

Exhibit 56: SKO consumption flattish MoM/up 18% YoY

Source: PPAC, Systematix Research

Exhibit 57: ATF consumption slide 7.6% MoM while up 4% YoY

Source: PPAC, Systematix Research

Exhibit 58: Naphtha consumption jumps 6% YoY/down 1.7% QoQ

Source: PPAC, Systematix Research

DISCLOSURES/APPENDIX

I. ANALYST CERTIFICATION

I, **Sudeep Anand, Prathmesh Kamath, Vidhi Shah**, hereby certify that (1) views expressed in this research report accurately reflect my/our personal views about any or all of the subject securities or issuers referred to in this research report, (2) no part of my/our compensation was, is, or will be directly or indirectly related to the specific recommendations or views expressed in this research report by **Systematix Shares and Stocks (India) Limited (SSSIL)** or its group/associate companies, (3) reasonable care is taken to achieve and maintain independence and objectivity in making any recommendations.

Disclosure of Interest Statement	Update
Analyst holding in the stock	No
Served as an officer, director or employee	No

I. **ISSUER SPECIFIC REGULATORY DISCLOSURES**, unless specifically mentioned in point no. 9 below:

- The research analyst(s), SSSIL, associates or relatives do not have any financial interest in the company(ies) covered in this report.
- The research analyst(s), SSSIL, associates or relatives collectively do not hold more than 1% of the securities of the company(ies) covered in this report as of the end of the month immediately preceding the distribution of the research report.
- The research analyst(s), SSSIL, associates or relatives did not have any other material conflict of interest at the time of publication of this research report.
- The research analyst, SSSIL and its associates have not received compensation for investment banking or merchant banking or brokerage services or any other products or services from the company(ies) covered in this report in the past twelve months.
- The research analyst, SSSIL or its associates have not managed or co-managed a private or public offering of securities for the company(ies) covered in this report in the previous twelve months.
- SSSIL or its associates have not received compensation or other benefits from the company(ies) covered in this report or from any third party in connection with this research report.
- The research analyst has not served as an officer, director or employee of the company(ies) covered in this research report.
- The research analyst and SSSIL have not been engaged in market making activity for the company(ies) covered in this research report.
- Details of SSSIL, research analyst and its associates pertaining to the companies covered in this research report:

Sr. No.	Particulars	Yes / No.
1	Whether compensation was received from the company(ies) covered in the research report in the past 12 months for investment banking transaction by SSSIL.	No
2	Whether research analyst, SSSIL or its associates and relatives collectively hold more than 1% of the company(ies) covered in the research report.	No
3	Whether compensation has been received by SSSIL or its associates from the company(ies) covered in the research report.	No
4	Whether SSSIL or its affiliates have managed or co-managed a private or public offering of securities for the company(ies) covered in the research report in the previous twelve months.	No
5	Whether research analyst, SSSIL or associates have received compensation for investment banking or merchant banking or brokerage services or any other products or services from the company(ies) covered in the research report in the last twelve months.	No

- There is no material disciplinary action taken by any regulatory authority that impacts the equity research analysis activities.

STOCK RATINGS

BUY (B): The stock's total return is expected to exceed 15% over the next 12 months.

HOLD (H): The stock's total return is expected to be within -15% to +15% over the next 12 months.

SELL (S): The stock's total return is expected to give negative returns of more than 15% over the next 12 months.

NOT RATED (NR): The analyst has no recommendation on the stock under review.

INDUSTRY VIEWS

ATTRACTIVE (AT): Fundamentals/valuations of the sector are expected to be attractive over the next 12-18 months.

NEUTRAL (NL): Fundamentals/valuations of the sector are expected to neither improve nor deteriorate over the next 12-18 months.

CAUTIOUS (CS): Fundamentals/valuations of the sector are expected to deteriorate over the next 12-18 months.

II. **DISCLAIMER**

The information and opinions contained herein have been compiled or arrived at based on the information obtained in good faith from sources believed to be reliable. Such information has not been independently verified and no guaranty, representation of warranty, express or implied, is made as to its accuracy completeness or correctness.

This document is for information purposes only. This report is based on information that we consider reliable; we do not represent that it is accurate or complete and one should exercise due caution while acting on it. Description of any company(ies) or its/their securities mentioned herein are not complete and this document is not and should not be construed as an offer or solicitation of an offer to buy or sell any securities or other financial instruments. Past performance is not a guide for future performance, future returns are not guaranteed and a loss of original capital may occur. All opinions, projections and estimates constitute the judgment of the author as on the date of the report and these, plus any other information contained in the report, are subject to change without notice. Prices and availability of financial instruments are also subject to change without notice. This report is intended for distribution to institutional investors.

This report is not directed to or intended for display, downloading, printing, reproducing or for distribution to or use by, any person or entity that is a citizen or resident or located in any locality, state, country or other jurisdiction where such distribution, publication, reproduction, availability or use would be contrary to law or regulation or what would subject to SSSIL or its affiliates to any registration or licensing requirement within such jurisdiction. If this report is inadvertently sent or has reached any individual in such country, especially USA, the same may be ignored and brought to the attention of the sender. Neither this document nor any copy of it may be taken or transmitted into the United States (to U.S. persons), Canada, or Japan or distributed, directly or indirectly, in the United States or Canada or distributed or redistributed in Japan or to any resident thereof. Any unauthorized use, duplication, redistribution or disclosure of this report including, but not limited to, redistribution by electronic mail, posting of the report on a website or page, and/or providing to a third party a link,

is prohibited by law and will result in prosecution. The information contained in the report is intended solely for the recipient and may not be further distributed by the recipient to any third party.

SSSIL generally prohibits its analysts, persons reporting to analysts, and members of their households from maintaining a financial interest in the securities or derivatives of any companies that the analysts cover. Additionally, SSSIL generally prohibits its analysts and persons reporting to analysts from serving as an officer, director, or advisory board member of any companies that they cover. Our salespeople, traders, and other professionals or affiliates may provide oral or written market commentary or trading strategies to our clients that reflect opinions that are contrary to the opinions expressed herein. Our proprietary trading and investing businesses may make investment decisions that are inconsistent with the recommendations expressed herein. The views expressed in this research report reflect the personal views of the analyst(s) about the subject securities or issues and no part of the compensation of the research analyst(s) was, is, or will be directly or indirectly related to the specific recommendations and views expressed by research analyst(s) in this report. The compensation of the analyst who prepared this document is determined exclusively by SSSIL; however, compensation may relate to the revenues of the Systematix Group as a whole, of which investment banking, sales and trading are a part. Research analysts and sales persons of SSSIL may provide important inputs to its affiliated company(ies).

Foreign currencies denominated securities, wherever mentioned, are subject to exchange rate fluctuations which could have an adverse effect on their value or price or the income derived from them. In addition, investors in securities such as ADRs, the values of which are influenced by foreign currencies, effectively assume currency risk. SSSIL, its directors, analysts or employees do not take any responsibility, financial or otherwise, of the losses or the damages sustained due to the investments made or any action taken on the basis of this report including but not restricted to fluctuation in the prices of shares and bonds, changes in the currency rates, diminution in the NAVs, reduction in the dividend or income, etc.

SSSIL and its affiliates, officers, directors, and employees subject to the information given in the disclosures may: (a) from time to time, have long or short positions in, and buy or sell, the securities thereof, of company (ies) mentioned herein or (b) be engaged in any other transaction involving such securities and earn brokerage or other compensation (financial interest) or act as a market maker in the financial instruments of the company (ies) discussed herein or act as advisor or lender / borrower to such company (ies) or have other potential material conflict of interest with respect to any recommendation and related information and opinions. The views expressed are those of the analyst and the company may or may not subscribe to the views expressed therein.

SSSIL, its affiliates and any third party involved in, or related to, computing or compiling the information hereby expressly disclaim all warranties of originality, accuracy, completeness, merchantability or fitness for a particular purpose with respect to any of this information. Without limiting any of the foregoing, in no event shall SSSIL, any of its affiliates or any third party involved in, or related to, computing or compiling the information have any liability for any damages of any kind. The company accepts no liability whatsoever for the actions of third parties. The report may provide the addresses of, or contain hyperlinks to, websites. Except to the extent to which the report refers to website material of the company, the company has not reviewed the linked site. Accessing such website or following such link through the report or the website of the company shall be at your own risk and the company shall have no liability arising out of, or in connection with, any such referenced website.

SSSIL will not be liable for any delay or any other interruption which may occur in presenting the data due to any technical glitch to present the data. In no event shall SSSIL be liable for any damages, including without limitation, direct or indirect, special, incidental, or consequential damages, losses or expenses arising in connection with the data presented by SSSIL through this presentation.

SSSIL or any of its other group companies or associates will not be responsible for any decisions taken on the basis of this report. Investors are advised to consult their investment and tax consultants before taking any investment decisions based on this report.

Registration granted by SEBI to SSSIL and certification from NISM to the analyst in no way guarantee performance of SSSIL or to provide any assurance of returns to investors.



Systematix Shares and Stocks (India) Limited:

Registered and Corporate address: The Capital, A-wing, No. 603 – 606, 6th Floor, Plot No. C-70, G Block, Bandra Kurla Complex, Bandra (East), Mumbai – 400 051

Tel no. 022-66198000/40358000 Fax no. 022-66198029/40358029 Email id contactus@systematixgroup.in. Visit us at: www.systematixgroup.in

Details of Compliance officer: Ms Nipa Savla, Compliance officer Tel no. 022-66198092/4035808092 Email id compliance@systematixgroup.in

Details of Email id grievance redressal cell : grievance@systematixgroup.in

Details of Registration : CIN - U65993MH1995PLC268414 | BSE SEBI Reg. No.: INZ000171134 (Member Code: 182) | NSE SEBI Reg. No.: INZ000171134 (Member Code: 11327) | MCX SEBI Reg. No.: INZ000171134 (Member Code: 56625) | NCDEX SEBI Reg. No.: INZ000171134 (Member Code: 1281) | Depository Participant SEBI Reg. No.: IN-DP-480-2020 (DP Id: 12034600) | PMS SEBI Reg. No.: INP000002692 | Research Analyst SEBI Reg. No.: INH200000840